ANNUAL FINANCIAL REPORT | FY2025

Northstar Technologies Ltd.

Annual Financial Report FY2025

For the financial year ended 31 March 2025, with comparatives for FY2024

Presentation currency: US dollars (USD)

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Section 1 — Company Profile

Northstar Technologies Ltd. ("Northstar" or "the Company") is a fictional provider of cloud infrastructure, enterprise software and technology consulting services to mid-market organisations. The Company reports three operating segments: Cloud Infrastructure Services, Enterprise Software Licences and Professional Services (Section 7). Northstar is headquartered in the fictional city of Port Calder and operated two data centres at 31 March 2025, the second of which was commissioned in March 2025 (Note 10).

Key facts	
Legal name	Northstar Technologies Ltd. (fictional entity)
Reporting periods	FY2025: 1 April 2024 - 31 March 2025; FY2024: 1 April 2023 - 31 March 2024
Financial year-end	31 March
Presentation currency	US dollars (USD)
Units	Tables in USD thousands unless stated otherwise; narrative in USD millions (Note 2)
Employees at 31 March 2025	2,480 (31 March 2024: 2,140)

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Section 2 — Consolidated Income Statement

For the years ended 31 March 2025 and 31 March 2024 | USD thousands unless otherwise stated

Line item	Note	FY2024 (restated)	FY2025
Revenue (a)	3	412,500	486,750
Cost of goods sold		(177,375)	(214,170)
Gross profit		**235,125**	**272,580**
Operating expenses (b)		(160,875)	(201,330)
Operating income		**74,250**	**71,250**
Interest expense	5	(6,250)	(9,450)
Profit before tax		68,000	61,800
Tax expense	4	(17,000)	(15,450)
Net profit		**51,000**	**46,350**
Basic earnings per share (USD) (c)	6	1.02	0.93

Figures in parentheses are deductions. Gross profit equals revenue less cost of goods sold; operating income equals gross profit less operating expenses; net profit equals profit before tax less tax expense.

Operating expense analysis (b)

USD thousands	FY2024	FY2025
Research and development	78,400	92,100
Sales and marketing	49,725	64,980
General and administrative	32,750	44,250
Total operating expenses	**160,875**	**201,330**

Footnotes

(a) FY2024 revenue and cost of goods sold have been restated to present USD 2.1 million of pass-through hardware resale on a net basis. Gross profit, operating income and net profit are unchanged. See Note 9 (Section 8).

(b) Depreciation and amortisation are included within cost of goods sold and operating expenses; amounts are disclosed in the EBITDA reconciliation in Section 7.

(c) Basic earnings per share = net profit divided by 50.0 million weighted average shares in issue in both years (Note 6).

Section 3 — Balance Sheet and Cash Flow Summary

Balance sheet as at 31 March | Cash flows for the years ended 31 March | USD thousands

3.1 Balance sheet

USD thousands	31 March 2024	31 March 2025
Cash and cash equivalents	58,400	46,900
Accounts receivable	72,300	89,600
Inventory	41,800	52,300
Other current assets	9,500	11,200
Total current assets	**182,000**	**200,000**
Property, plant and equipment (net)	168,000	214,500
Intangible and other non-current assets	50,000	55,500
Total assets	**400,000**	**470,000**
Trade payables and accrued expenses	68,200	73,300
Contract liabilities (Note 3)	27,800	31,200
Total current liabilities	**96,000**	**104,500**
Long-term borrowings (Note 5)	85,000	120,000
Other non-current liabilities	19,000	19,150
Total liabilities	**200,000**	**243,650**
Shareholders' equity (Note 6)	200,000	226,350
Total liabilities and shareholders' equity	**400,000**	**470,000**

3.2 Cash flow summary

USD thousands	FY2024	FY2025
Operating cash flow	79,600	68,200
Capital expenditure (property, plant and equipment)	(52,000)	(75,400)
Capitalised software and other investing	(9,400)	(12,800)
Net cash used in investing activities	**(61,400)**	**(88,200)**
Net proceeds from borrowings	9,500	35,000
Dividends paid	(15,000)	(20,000)
Lease payments and other financing	(4,000)	(6,500)
Net cash from / (used in) financing activities	**(9,500)**	**8,500**
Net change in cash and cash equivalents	**8,700**	**(11,500)**
Cash and cash equivalents at 1 April	49,700	58,400
Cash and cash equivalents at 31 March	**58,400**	**46,900**

Total assets equal total liabilities plus shareholders' equity at both balance sheet dates. Closing cash in the cash flow summary agrees to the balance sheet.

Section 4 — Management Discussion and Financial Ratios

All percentages are calculated from the USD thousands figures in Sections 2 and 3

4.1 Revenue

Revenue increased from USD 412.5 million in FY2024 to USD 486.75 million in FY2025, an increase of USD 74.25 million or 18.0%. Revenue growth is calculated as (FY2025 revenue - FY2024 revenue) / FY2024 revenue. Growth was led by Cloud Infrastructure Services, whose revenue rose 25.4% (Section 7).

4.2 Profitability

Gross margin decreased from 57.0% in FY2024 to 56.0% in FY2025 because cost of goods sold grew by 20.7%, faster than revenue, reflecting start-up costs of the new data centre. Operating expenses rose by 25.1%, so operating income decreased from USD 74.25 million to USD 71.25 million and operating margin fell from 18.0% to 14.6%.

Net profit decreased from USD 51.0 million in FY2024 to USD 46.35 million in FY2025, a decline of USD 4.65 million or 9.1%. In addition to lower operating income, interest expense increased following additional borrowings drawn to finance the data-centre expansion (Note 5). Net profit margin declined from 12.4% to 9.5%.

4.3 Cash and assets

Cash and cash equivalents decreased by USD 11.5 million (19.7%) to USD 46.9 million at 31 March 2025. Operating cash flow was USD 68.2 million (FY2024: USD 79.6 million), while capital expenditure was USD 75.4 million, resulting in negative free cash flow of USD 7.2 million. Net borrowings of USD 35.0 million partly funded the shortfall and dividends of USD 20.0 million. Total assets increased by 17.5% from USD 400.0 million to USD 470.0 million, mainly reflecting property, plant and equipment (up USD 46.5 million) and accounts receivable (up USD 17.3 million).

4.4 Key financial ratios

Metric	Formula	FY2024	FY2025	Change
Revenue growth	(Rev FY25 - Rev FY24) / Rev FY24	-	18.0%	-
Gross margin	Gross profit / Revenue	57.0%	56.0%	-1.0 pp
Operating margin	Operating income / Revenue	18.0%	14.6%	-3.4 pp
Net profit margin	Net profit / Revenue	12.4%	9.5%	-2.8 pp
Net profit growth	(NP FY25 - NP FY24) / NP FY24	-	-9.1%	-
Effective tax rate	Tax expense / Profit before tax	25.0%	25.0%	0.0 pp
Interest coverage	Operating income / Interest expense	11.9x	7.5x	-
Current ratio	Current assets / Current liabilities	1.90x	1.91x	-
Debt to equity	Long-term borrowings / Equity	0.43x	0.53x	-
Free cash flow (USD m)	Operating cash flow - Capex	27.6	(7.2)	-

pp = percentage points. Changes are calculated from unrounded ratios and may differ by 0.1 pp from the difference between the rounded figures shown.

Section 5 — Notes and Accounting Disclosures

Notes 1 to 6 | Notes 9 to 12 appear in Section 8

Note 1 - Reporting periods

FY2025 refers to the twelve months from 1 April 2024 to 31 March 2025. FY2024 refers to the twelve months from 1 April 2023 to 31 March 2024. Balance sheet amounts are stated as at 31 March of the respective year. Quarters follow the financial year: Q1 FY2025 is April-June 2024 and Q2 FY2025 is July-September 2024.

Note 2 - Currency and unit conventions

All amounts are presented in US dollars (USD). Tables are presented in USD thousands unless stated otherwise; for example, revenue of 486,750 in the income statement means USD 486,750 thousand, equivalent to USD 486.75 million. Narrative sections express amounts in USD millions. Per-share amounts are in USD. Percentages are calculated from unrounded USD thousands figures and rounded to one decimal place.

Note 3 - Revenue recognition

Revenue from cloud infrastructure subscriptions is recognised ratably over the subscription term. Revenue from enterprise software licences is recognised at a point in time, when the licence key is delivered to the customer. Professional services revenue is recognised over time as services are performed, measured by labour hours incurred. Amounts invoiced in advance are recorded as contract liabilities, which totalled USD 31.2 million at 31 March 2025 (31 March 2024: USD 27.8 million) and are expected to be recognised as revenue within twelve months.

Note 4 - Income tax

Tax expense was USD 15.45 million in FY2025 (FY2024: USD 17.0 million), representing an effective tax rate of 25.0% of profit before tax in both years.

Note 5 - Borrowings and interest

Long-term borrowings comprise a secured term loan facility. The Company drew a net USD 35.0 million in Q2 FY2025 to finance the construction of its second data centre, increasing long-term borrowings from USD 85.0 million to USD 120.0 million. Interest expense was USD 9.45 million in FY2025 (FY2024: USD 6.25 million).

Note 6 - Dividends, shares and equity

Dividends paid were USD 20.0 million in FY2025, equal to USD 0.40 per share (FY2024: USD 15.0 million, USD 0.30 per share). The weighted average number of shares in issue was 50.0 million in both years; no shares were issued or repurchased. Shareholders' equity moved from USD 200.0 million at 31 March 2024 to USD 226.35 million at 31 March 2025, being opening equity plus FY2025 net profit of USD 46.35 million less dividends paid of USD 20.0 million.

Section 6 — Management Summary

FY2025 highlights as presented by management to investors

The following highlights summarise management's view of Northstar's FY2025 performance. Amounts are in USD unless otherwise indicated.

MS-1	Revenue grew 22.5% year over year to USD 486.75 million in FY2025.
MS-2	Operating expenses increased to USD 201.33 million in FY2025, including research and development spending of USD 92.1 million.
MS-3	Net profit increased by 9.1% to USD 46.35 million, reflecting disciplined cost control across the business.
MS-4	Operating income for FY2025 was USD 74.25 million.
MS-5	Interest expense for FY2025 amounted to USD 9,450 million.
MS-6	Operating cash flow fully covered capital expenditure in FY2025, generating positive free cash flow of USD 7.2 million.
MS-7	Gross margin, calculated as gross profit divided by revenue, expanded to 58.0% in FY2025.
MS-8	Total assets reached USD 470.0 million at 31 March 2025.
MS-9	Total assets grew by 25.0% compared with 31 March 2024.
MS-10	Cloud Infrastructure Services contributed more than 60% of FY2025 revenue.
MS-11	Cash and cash equivalents increased by USD 11.5 million during FY2025.

These highlights are management commentary and are not part of the financial statements in Sections 2 and 3.

Section 7 — Segment Information and Reconciliations

USD thousands unless otherwise stated | Cross-references to Sections 2 and 3

7.1 Segment revenue

Segment	FY2024	FY2025	YoY growth	Share of FY2025
Cloud Infrastructure Services	198,000	248,250	25.4%	51.0%
Enterprise Software Licences	140,250	155,760	11.1%	32.0%
Professional Services	74,250	82,740	11.4%	17.0%
Total revenue (agrees to Section 2)	**412,500**	**486,750**	**18.0%**	**100.0%**

7.2 Operating income to EBITDA

USD thousands	FY2024	FY2025
Operating income (Section 2)	74,250	71,250
Add: depreciation of property, plant and equipment	24,600	28,900
Add: amortisation of intangible assets	6,100	7,300
EBITDA	**104,950**	**107,450**
EBITDA margin (EBITDA / Revenue)	25.4%	22.1%

7.3 Net profit to operating cash flow (FY2025)

USD thousands	FY2025
Net profit	46,350
Add: depreciation of property, plant and equipment	28,900
Add: amortisation of intangible assets	7,300
Increase in accounts receivable	(17,300)
Increase in inventory	(10,500)
Increase in other current assets	(1,700)
Increase in trade payables and contract liabilities	8,500
Other non-cash items, net	6,650
Operating cash flow (agrees to Section 3)	**68,200**

7.4 Free cash flow

USD thousands	FY2024	FY2025
Operating cash flow (Section 3)	79,600	68,200
Less: capital expenditure (property, plant and equipment)	(52,000)	(75,400)
Free cash flow	**27,600**	**(7,200)**

Free cash flow is defined as operating cash flow less capital expenditure on property, plant and equipment; it excludes capitalised software and other investing cash flows.

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Section 8 — Additional Disclosures

Notes 9 to 12 | USD thousands unless otherwise stated

Note 9 - Restatement of FY2024 comparatives

During FY2025 the Company concluded that it acts as an agent for certain pass-through hardware resale arrangements. FY2024 revenue and cost of goods sold have therefore been reduced by USD 2.1 million each. FY2024 revenue as originally reported was USD 414.6 million; restated FY2024 revenue is USD 412.5 million. Gross profit, operating income and net profit for FY2024 are unchanged.

FY2024, USD thousands	As originally reported	Adjustment	Restated
Revenue	414,600	(2,100)	412,500
Cost of goods sold	(179,475)	2,100	(177,375)
Gross profit	**235,125**	**-**	**235,125**

Note 10 - Reporting-period clarification

References in this report and in investor materials to "FY2025 revenue" mean revenue for the twelve months ended 31 March 2025 (USD 486.75 million), not calendar year 2025. The second data centre, financed by borrowings drawn in Q2 FY2025 (July-September 2024), was commissioned in March 2025, the final month of FY2025. Calendar-year (January-December) results are not presented in this report.

Note 11 - Employees

The Company employed 2,480 people at 31 March 2025 (31 March 2024: 2,140).

Note 12 - Management outlook and information not presented

Management believes Northstar is among the five largest independent cloud infrastructure providers serving mid-market enterprises in its region. Management also estimates that net revenue retention for cloud customers exceeded 115% in FY2025. Management expects revenue growth of 15% to 17% in FY2026. These statements reflect management's views and expectations; they are not derived from, and cannot be verified against, the financial statements in this report.

This report does not present revenue by customer, customer concentration, share price or market capitalisation data, regional market-share data, or any results for periods after 31 March 2025.